

Deven R. Choksey, Chairman and MD of wealth management and investment advisory firm DR-Choksey Finserv, sees Reliance's business model moving from transaction and subscription-based to large-scale computation at the core. "Reliance must be viewed as an infrastructure player with FTTH [fibre-to-the-home], enterprise solutions and mobility at one end. The other [end] will have strong content

model will give it a play in segments like sales and demand forecasting apart from payments, entertainment and anything requiring large amounts of data," says Choksey.

Reliance declined to take part in this story.

SYNCING THE OLD AND NEW

Reliance is in the top bracket of refining and petrochemicals com-

terial capacity and making Jamnagar, over the next decade, a feed-stock production hub.

Deepak Jasani, Head (Retail Research) at HDFC Securities, has been watching how Reliance has ramped up its Jio and retail businesses to ride the rising demand in these segments over the last three to four years. "In the process, the expansion of service offerings here caters to the emerging require-



62 | **"It (RIL) understands manufacturing well... One of the big strengths is chemistry, which is what it is playing to in the new energy business"**

DEEPAK JASANI
HEAD, (RETAIL RESEARCH),
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NEW VIGOUR

► In FY23, over 60 per cent of RIL's revenue came from the oil to chemicals business, while retail and digital together brought in 38 per cent

► The launch of Jio AirFiber through the standalone route opens up a potentially large broadband market in India

► In the last fiscal, its retail segment's revenue was ₹2.6 lakh crore, up over 30 per cent; the company also added 3,000 stores and 20 million sq. ft

► RIL's digital thrust could lead to generating and processing very large quantities of data, making a case for an even stronger customer connect

► Its B2C businesses help in insulating the company from the cyclical nature of oil to chemicals

► Scale is expected to help the company, especially in raising debt at competitive rates coupled with lenders' comfort on overall cash flows

SOURCE BT RESEARCH

across verticals such as agriculture, healthcare, e-commerce and gaming," he says.

This structure will give Reliance a direct connect with customers.

Choksey is clear the way forward is about generating and processing "tonnes of data," making it a dominant player here. "Reliance can use technologies such as AI, blockchain and AR to be a service provider. Its end-to-end data

panies: its oil refinery at Jamnagar in Gujarat is the world's largest and is No. 16 in chemicals. ICICI Securities said in an August 2023 report that Reliance has achieved this position despite a "challenging global environment over the last 12 months". The upstream piece is looking up, and Reliance is trying to derisk the commodities business by growing its portfolio of specialty chemicals, adding ma-

ments of consumers. The B2C element in these two businesses significantly insulates it from cycles and competition," he says.

The O2C business is cyclical and depends on crude oil prices and the spreads in each product. "Here, it has gone slow in expanding, focussing on new emerging areas like renewables and hydrogen. It has also raised funds at good valuations by diluting stake in the